

If you're so desperate for money that you're considering a payday loan, see if there's some other way to go, like asking family or friends for a loan. (For more information on borrowing from friends and relatives, look back at the box on chapter 3.) Some employers will allow you to borrow from your own paycheck, usually for a small fee but sometimes at no cost at all, so make sure to investigate.

↓ **WHEN TO CONSIDER BANKRUPTCY**

At first blush, declaring bankruptcy, especially a certain type known as Chapter 7, can seem appealing if you're deep in debt. You have to fill out some paperwork and submit it with a fee (recently \$299) to a federal bankruptcy court, and you'd also probably need to pay a bankruptcy lawyer to help make your case. But if your petition for bankruptcy is accepted, your debts will be "discharged," meaning you'll be absolved of responsibility for the money you owe to creditors such as your landlord, doctors, and credit card companies. Some of your assets can be seized to pay off these creditors, but depending on which state you live in, you may be able to work out a deal where you get to keep your car, home, and household possessions. And it may not be long before you can start borrowing again. One study found that even people who recently declared bankruptcy can get credit. (But most debtors, wisely, didn't accept.)

Although declaring bankruptcy may sound like a good deal, it's not an option that many of us should choose. For starters, there's a long list of debts that can't be discharged, even if you file Chapter 7. Student loans, for instance, usually can't be wiped out. What's more, bankruptcy is noted on your credit report for ten years. True, you may be able to get some form of credit sooner, but you probably won't be eligible for low-rate credit cards or other attractive loan deals for a long time. Finally, keep in mind that prospective employers will learn from your credit report that you declared bankruptcy—you may have trouble changing jobs, especially if you're trying to get a position that requires you to be financially responsible.

Even if all this is not enough to dissuade you, you should know that recent changes to the bankruptcy law also make it harder for people with